Task 4 – Due May 29 at 23:00 (11pm)

This task is a replication and discussion task for *Reinhart, Carmen M, and Kenneth S Rogoff. 2010. Growth in a time of debt. American Economic Review 100, no 2: 573-578.*

1. Read the paper (http://nrs.harvard.edu/urn-3:HUL.InstRepos:11129154).
   Write a short paragraph summarizing the findings of this paper and the main policy implications (note: there was a so-called "Age of Austerity" – have a look at newspaper and blog articles of the times or reflecting on the times like https://www.epi.org/blog/winning-intellectual-debate-austerity-losing/ or https://www.forbes.com/sites/francescoppola/2017/08/31/fiscal-austerity-after-the-great-recession-was-a-catastrophic-mistake/).

2. Read the critique paper "*Does high public debt consistently stifle economic growth? A critique of Reinhart and Rogoff" by T Herndon, M Ash, R Pollin (Cambridge journal of economics 38 (2), 257-279*, https://peri.umass.edu/wp-content/uploads/joomla/images/WP322.pdf)
   Write a short paragraph explaining why original results may not hold and discuss the implications of *Herndon et al.* findings in attempting to replicate the paper.

3. Look through https://svmiller.com/blog/2020/04/reinhart-rogoff-ten-years-later-replication/ . Using the GitHub repository for replication *Reinhart and Rogoff (2010) via Herndon et al (2014)* https://github.com/svmiller/reinhart-rogoff **show that what is stated in Steven V. Miller's blog entry (and thus in the critique paper by Herndon et al.) holds**. [For Python users, feel free to use https://github.com/vincentarelbundock/Reinhart-Rogoff?tab=readme-ov-file]. **Show the „true" results (i.e. without excluding countries from the data set and other data manipulations) and clearly state steps of data adjustment required to reproduce results of the original paper.**

4. Read https://www.theunseenandtheunsaid.com/p/the-reinhart-rogoff-excel-error-debate . **Write a paragraph summarizing your thinking on growth-debt nexus and on the use of original paper** (*Reinhart, Carmen M, and Kenneth S Rogoff. 2010. Growth in a time of debt. American Economic Review 100, no 2: 573-578.)* **in policy discussions today.**

All parts carry equal weight.

Hand in your answer to me via e-mail to nora.laurinaityte@ilte.lt or submit via TEAMS. Please include all the commands used in your work in addition to the plots etc. that have been requested, i.e. submit a code (ideally copied into MS Word file) to produce all the results.